

MediQ Peranti Bhd

Registration No. 201801029156 (1289471-U)
(Incorporated in Malaysia)

SECURED SUKUK MURABAHAH (TAWARRUQ)

RM3,500,000 in nominal value

Unrated — no rating agency has assessed this issue

Shariah compliant — Murabahah via Tawarruq

Secured on the Kulim factory premises

Smallest issue on the Platform — RM3.5 million

Retail tranche RM1.2 million — fractional from RM100

Instrument	Secured Sukuk Murabahah (Tawarruq)
Programme size	RM15,000,000 in nominal value
Nominal value of this issue	RM3,500,000
Anchor Investor allocation	RM2,300,000 (65.7%)
Retail tranche	RM1,200,000 (34.3%)
Minimum investment	RM100 (fractional)
Maximum single-issuer holding	RM8,000 per investor
Tenure	3 years from the issue date
Profit rate	7.50 per cent. per annum, fixed
Profit payment frequency	Semi-annually in arrears
Credit rating	None. This issue is unrated.
Issue date	18 November 2026
Maturity date	18 November 2029
Exit before maturity	Anchor Investor standing bid only — see Section 9.5

THIS OFFERING IS MADE TO RETAIL INVESTORS THROUGH THE TOKENKAN PLATFORM IN FRACTIONAL DENOMINATIONS FROM RM100. IT IS NOT A DEPOSIT. IT IS NOT PROTECTED BY PERBADANAN INSURANS DEPOSIT MALAYSIA. THE CAPITAL INVESTED IS AT RISK AND MAY NOT BE RETURNED IN FULL. RETURNS ARE NOT GUARANTEED AND DEPEND ON THE ISSUER CONTINUING TO MEET ITS OBLIGATIONS. THE ISSUER IS A SMALL COMPANY AND THIS IS A SMALL ISSUE; INVESTORS SHOULD EXPECT GREATER CREDIT RISK AND LESS LIQUIDITY THAN ON A LARGE INSTITUTIONAL ISSUANCE. EXIT BEFORE MATURITY IS AVAILABLE ONLY THROUGH THE ANCHOR INVESTOR STANDING BID DESCRIBED IN SECTION 9.5, WHICH IS SUBJECT TO LIMITS AND MAY BE SUSPENDED. THE TOKENKAN PLATFORM IS NOT AN EXCHANGE. NOTHING IN THIS DOCUMENT IS INVESTMENT ADVICE OR A RECOMMENDATION. PROSPECTIVE INVESTORS SHOULD READ THIS DOCUMENT IN FULL, AND IN PARTICULAR THE RISK FACTORS IN SECTION 7, AND SHOULD INVEST ONLY WHAT THEY CAN AFFORD TO LOSE. THIS ISSUE IS UNRATED. NO RATING AGENCY HAS ASSESSED THE CREDITWORTHINESS OF THE ISSUER OR OF THESE SUKUK. AT RM3.5 MILLION THIS IS THE SMALLEST ISSUE ON THE PLATFORM AND THE PROFIT RATE OF 7.50 PER CENT. IS THE HIGHEST. THE ISSUER WAS LISTED ONLY IN FEBRUARY 2024 AND HAS A SHORT TRADING RECORD AS A PUBLIC COMPANY. INVESTORS SHOULD READ SECTION 7 IN FULL.

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1. EXECUTIVE SUMMARY

1.1 Overview of the Issuer

MediQ Peranti Bhd manufactures single-use medical consumables and diagnostic devices at a purpose-built cleanroom facility it owns at Kulim, Kedah. It manufactures under an international brand's label as an original equipment manufacturer, sells its own diagnostic range to Malaysian hospital groups and clinics, and provides contract manufacturing services.

The Issuer has been listed on the ACE Market of Bursa Malaysia since February 2024 and had a market capitalisation of RM52.6 million as at 30 June 2026. It employed 212 persons as at 31 December 2025.

For the financial year ended 31 December 2025 the Issuer recorded revenue of RM35.4 million, EBITDA of RM7.36 million and profit for the financial year of RM2.04 million. Total assets stood at RM54.5 million and shareholders' funds at RM19.3 million.

1.2 Purpose of the offering

The Issuer is offering RM3,500,000 in nominal value of Secured Sukuk Murabahah, the inaugural issue under its RM15.0 million Sukuk Programme. Of that, RM2,300,000 is allocated to the Anchor Investor and RM1,200,000 to retail investors through the Tokenkan platform in fractional denominations from RM100, subject to a maximum holding of RM8,000 per investor.

Proceeds will fund cleanroom expansion and injection moulding equipment, a regulatory approval and certification programme, refinancing and working capital. Section 5 has the detail.

1.3 The smallest issue on the Platform, and what follows from that

At RM3.5 million this is the smallest offering on the Platform, and the profit rate of 7.50 per cent. is the highest. Both facts follow from the same cause.

A conventional RM3.5 million bond issuance is impossible in Malaysia: fixed costs of RM1.4 million to RM1.9 million would consume 40 to 54 per cent. of the proceeds. Even a credit rating, at RM150,000 to RM200,000, would take four to six per cent. The total cost of this issuance is RM155,000, being 4.43 per cent. of nominal value, achieved by removing the underwriter, declining a rating, and standardising the documentation.

Investors should understand what they accept in exchange: no rating, no underwriter with capital at risk, a company with a two-year public record, and a business concentrated on one large customer. The compensation is 7.50 per cent. and the best security on the Platform.

1.4 What protects investors here

The security is the substantive answer, and it is stronger than on most small issues:

- **A freehold factory, professionally valued.** The Kulim premises are valued at RM26.4 million and carry RM9.6 million of prior-ranking financing, leaving RM16.8 million of equity against RM3.5 million of Sukuk. That is 4.80 times cover, against a covenanted minimum of 1.30 times.
- **A debenture** over plant, equipment, inventories and receivables.
- **An assignment of RM18.4 million** of annual receivables from the principal OEM customer and the three largest hospital distributors, payable into a Trustee-controlled account on default.
- **A corporate guarantee** from the controlling shareholder.
- **Two mandatory redemption triggers** tied to the events most likely to end the business: loss of regulatory approvals for more than ninety days, and loss of the principal OEM customer without substantial replacement.

Investors should discount the valuation for the specialised nature of a cleanroom facility and for the fact that a valuation assumes the plant remains regulator-certified. Section 4.6 sets out both discounts candidly.

1.5 Key risks

A summary only. Section 7 must be read in full.

- **Unrated.** No independent professional opinion on creditworthiness exists.
- **Customer concentration.** One OEM customer was 41.8 per cent. of FY2025 revenue, under an agreement expiring December 2028, eleven months before maturity.
- **Covenants would not survive that loss.** Section 6.4 shows leverage at approximately 9.4 times and coverage at approximately 1.0 times in that scenario.
- **Negative free cash flow in every year presented,** at minus RM1.2 million, minus RM1.4 million and minus RM1.4 million.
- **Regulatory approval is a precondition of trading.** A certification suspension halts supply, not merely adds cost.
- **Product liability and recall exposure,** with insurance capped at RM20.0 million per occurrence.
- **Short public record.** Listed only since February 2024, with no observed behaviour through a downturn.
- **New approvals may fail.** RM620,000 funds an FDA 510(k) programme with no assurance of clearance, and the cleanroom expansion case assumes it succeeds.
- **Rising gearing.** Gross gearing rose from 0.86 to 1.03 times over three years and would be 1.18 times after this issue.
- **Competition from lower-cost regional manufacturers** in China, Vietnam and India.
- **Exit is limited.** The Anchor Investor standing bid carries a 1.75 per cent. discount, the largest on the Platform, is capped at RM60,000 monthly and may be suspended.

1.6 Summary financial information

RM'000	FY2023	FY2024	FY2025
Revenue	24,600	29,800	35,400
EBITDA	4,440	5,900	7,360
Profit for the financial year	700	1,420	2,040
Total assets	39,500	46,500	54,500
Total liabilities	23,700	29,280	35,240
Total equity	15,800	17,220	19,260
Total financing	13,600	16,600	19,800
Net cash from operating activities	2,400	3,200	4,400
Free cash flow after capital expenditure	(1,200)	(1,400)	(1,400)
Gross gearing (times)	0.86	0.96	1.03
EBITDA / finance costs (times)	2.6	3.1	3.4

1.7 Operating statistics

	FY2023	FY2024	FY2025
Principal OEM customer share of revenue (%)	46.2	43.4	41.8
Own-brand revenue share (%)	27.6	28.2	27.7
Hospital groups served (own brand)	8	11	13
Cleanroom capacity utilisation (%)	72	81	88
Registered products (Medical Device Authority)	14	17	19
Export revenue share (%)	18.4	21.2	23.6
Quality non-conformities (major / minor)	0 / 2	0 / 1	0 / 1

2. ISSUER BACKGROUND

2.1 History and development

The Issuer was incorporated in September 2018 by Dr. Tan Chee Wei, a biomedical engineer who had spent eleven years with a multinational medical device manufacturer, to produce single-use consumables in Malaysia for regional and export markets.

It acquired the Kulim site in 2019 and commissioned its first cleanroom in 2020. The OEM supply agreement with its principal customer was signed in 2021 and has been renewed once, currently running to December 2028; that agreement provided the volume base on which the Issuer built its capacity. The own-brand diagnostic range was launched in 2022 and ISO 13485 certification obtained the same year.

The Issuer listed on the ACE Market in February 2024, raising RM11.8 million, of which RM8.4 million funded the second cleanroom and moulding capacity. This is its inaugural debt issuance.

Investors should note that the operating history of the business is seven years and the public reporting history two.

2.2 Business model

The Issuer earns revenue in three ways, with materially different characteristics.

OEM manufacture, at RM21.4 million in FY2025, involves producing consumables to a customer's specification under that customer's label. Volumes are large and predictable while the agreement runs, margins are thinner than on own-brand product, and the relationship is concentrated in one customer.

Own-brand diagnostic devices, at RM9.8 million, are sold to Malaysian hospital groups and clinics through the distribution subsidiary. Margins are higher, the customer base is more diversified across thirteen hospital groups, but the sales cycle is longer and each product requires its own registration.

Contract manufacturing, at RM3.6 million, uses spare cleanroom capacity for smaller customers and is the most variable of the three.

The strategic direction is toward own-brand product, because it diversifies the customer base and improves margin. That shift requires regulatory approvals, which is what RM620,000 of this issue funds, and it is slow: own-brand share of revenue has moved only from 27.6 per cent. to 27.7 per cent. over three years, because OEM volumes grew in parallel.

2.3 Revenue segments

Segment (RM'000)	FY2023	FY2024	FY2025
Single-use consumables manufactured under OEM agreement	14,200	17,600	21,400
Own-brand diagnostic devices	6,800	8,400	9,800
Contract manufacturing services	2,900	3,200	3,600
Other	700	600	600
Total revenue	24,600	29,800	35,400

2.4 Facilities and markets

Detail	
Manufacturing site	Kulim, Kedah — 4.2 acres freehold, owned by the Issuer
Cleanroom capacity	Two ISO Class 8 cleanrooms totalling 3,860 square metres; 88% utilised
Certifications held	Medical Device Authority establishment licence; ISO 13485; CE marking under EU MDR on two product lines
Registered products	19 devices registered with the Medical Device Authority
Principal export markets	Singapore, Indonesia, Thailand, Vietnam and, on two lines, the European Union
Export revenue share	23.6% of FY2025 revenue

Revenue is denominated principally in ringgit and United States dollars, with export sales and OEM supply priced in dollars, which creates the currency exposure described in Section 7.4. Raw polymer is purchased in dollars, which provides a partial natural hedge.

Investors should note that cleanroom utilisation of 88 per cent. is the constraint this issue addresses; the Issuer cannot take materially more volume without the expansion funded here.

2.5 Management and employees

The Issuer employed 212 persons as at 31 December 2025, of whom 148 were production and cleanroom operators, 22 in quality assurance and regulatory affairs, 18 in engineering and maintenance, and 24 in commercial and corporate functions.

The quality and regulatory function is disproportionately important in this business, since certification is the precondition of trading, and investors should note that it is staffed by 22 people in a company of 212.

2.6 Strategy

The strategy has three elements: to expand cleanroom capacity, currently 88 per cent. utilised, so the Issuer can accept additional volume;

to obtain the regulatory approvals that open larger export markets, principally United States 510(k) clearance for one diagnostic device; and to grow own-brand revenue as a proportion of the total in order to reduce dependence on the principal OEM customer. The Issuer does not intend to manufacture outside Malaysia or to enter capital equipment manufacture.

3. CORPORATE STRUCTURE, SHAREHOLDING AND GOVERNANCE

3.1 Group structure

The Issuer manufactures directly at Kulim and owns the factory premises directly, which is what permits the security described in Section 4.6. Distribution and own-brand product registrations sit in subsidiaries.

Subsidiary / associate	Effective interest	Principal activity
MediQ Distribution Sdn Bhd	100%	Distribution of own-brand devices to hospital groups and clinics; holder of the receivables financing facility
MediQ Innovations Sdn Bhd	100%	Holder of product registrations and intellectual property for the own-brand diagnostic range
MediQ Peranti (S) Pte. Ltd.	100%	Distribution into Singapore and regional export coordination

3.2 Shareholding of the Issuer

The issued share capital of the Issuer is RM14,000,000 comprising 140,000,000 ordinary shares of RM0.10 each. The shares are listed on the ACE Market of Bursa Malaysia, with a market capitalisation of RM52.6 million as at 30 June 2026.

Shareholder	Ordinary shares held	%
MediQ Ventures Sdn Bhd	35,000,000	25.0
Dr. Tan Chee Wei	25,200,000	18.0
Kedah Industrial Development Capital Berhad	14,000,000	10.0
Public shareholders (ACE Market)	60,200,000	43.0
Directors other than the above	5,600,000	4.0
Total	140,000,000	100.0

3.3 Board of Directors

The Board comprises six members, of whom three are independent non-executive directors, in accordance with the ACE Market Listing Requirements.

Name	Age	Designation	Appointed
Datuk Dr. Suresh Naidu	63	Independent Non-Executive Chairman	August 2023
Dr. Tan Chee Wei	49	Group Managing Director	September 2018
Lim Sook Cheng	45	Executive Director and Chief Financial Officer	January 2023
Ir. Faridah binti Aziz	44	Executive Director and Head of Manufacturing	June 2021
Wong Kar Meng	57	Independent Non-Executive Director	August 2023
Nadia binti Hamzah	41	Independent Non-Executive Director	March 2025

3.4 Key management

The senior management team combines biomedical engineering, regulatory affairs and manufacturing experience.

Name	Position	Relevant experience
Dr. Tan Chee Wei	Group Managing Director	Founder; biomedical engineer with 21 years in medical device development, previously with a multinational manufacturer.
Lim Sook Cheng	Chief Financial Officer	Chartered accountant with 16 years' experience, including four in listed manufacturing.
Ir. Faridah binti Aziz	Head of Manufacturing	18 years in cleanroom and injection moulding operations.
Kumaresan a/l Devan	Head of Regulatory and Quality Affairs	14 years in medical device regulatory submissions and ISO 13485 quality systems.
Yeoh Li Ann	Head of Commercial	12 years in medical device sales, distributor management and OEM account management.

3.5 Corporate governance

The Board of Directors of the Issuer is responsible for the overall stewardship of the Group, including the approval of strategy and annual budgets, the oversight of risk management and internal control, the approval of material capital commitments and financing arrangements, and the integrity of financial reporting. The Board meets at least quarterly and on such other occasions as the business of the Group requires.

The Board is supported by three standing committees. The Audit and Risk Committee, comprising a majority of independent directors and chaired by an independent director, reviews the financial statements before submission to the Board, oversees the internal audit function and the relationship with the external auditors, and monitors the principal risks of the Group and the adequacy of mitigating controls. The Nomination and Remuneration Committee reviews the composition and effectiveness of the Board and the remuneration framework for directors and senior management. The Board Investment Committee reviews material capital expenditure, acquisitions and financing proposals before they are submitted to the Board.

The Group maintains an internal audit function which reports functionally to the Audit and Risk Committee and administratively to the chief executive. The internal audit plan is approved annually by the Audit and Risk Committee and is prepared on a risk-based methodology covering the principal operating and financial processes of the Group. The Group also maintains a whistleblowing policy under which employees and third parties may report suspected improprieties directly to the chairman of the Audit and Risk Committee.

For so long as the Sukuk remain outstanding, the Issuer has undertaken to maintain a Board comprising not fewer than five directors, of whom at least two shall be independent, and to procure that the Audit and Risk Committee continues to be chaired by an independent director.

The founder and his holding vehicle hold 43 per cent. of the voting shares and one of the six board seats. Investors should note that the Issuer has been a listed company only since February 2024, so its governance practice under public scrutiny is not yet well established. The Issuer purchases moulding tools from a company connected to the Managing Director; the arrangement was disclosed at listing, is subject to independent director approval and to the related party transaction requirements of the ACE Market Listing Requirements, and totalled RM640,000 in FY2025.

4. TERMS OF THE SUKUK

This section summarises the principal terms and conditions of the Sukuk. It is a summary only and is qualified in its entirety by the detailed provisions of the Trust Deed, the Programme Agreement and the Shariah pronouncement and the other Transaction Documents, copies of which are available for inspection at the registered office of the Issuer during normal business hours.

4.1 Summary of principal terms

Issuer	MediQ Peranti Bhd
Instrument	Secured Sukuk Murabahah issued under the Sukuk Programme of the Issuer and distributed through the Tokenkan platform
Shariah principle	Murabahah, effected through a Tawarruq arrangement in Shariah-compliant commodities
Programme size	RM15,000,000 in nominal value
Principal amount of this issuance	RM3,500,000
Issue price	100.00 per cent. of nominal value
Denomination	RM1,000 nominal value per unit, tradable in minimum blocks of RM250,000 nominal value
Tenure	3 years from the issue date
Issue date	18 November 2026
Maturity date	18 November 2029
Profit rate	7.50 per cent. per annum, fixed for the full tenure
Profit payment frequency	Semi-annually in arrears
Profit payment dates	18 May and 18 November
Day count fraction	Actual/365 (Fixed)
Maturity structure	Bullet repayment of the full nominal value on the maturity date
Redemption at maturity	At 100 per cent. of the nominal value, together with accrued and unpaid profit up to but excluding the maturity date
Security	Secured by a second-ranking charge over the Kulim factory premises and a debenture over the assets of the Issuer
Ranking	Senior secured; ranking behind the existing first charge on the factory premises, ahead of unsecured creditors to the extent of the security, and pari passu among holders
Credit rating	Unrated by no rating agency has been appointed, with a not applicable outlook
Form	Scripless, prescribed under the Real Time Electronic Transfer of Funds and Securities System (RENTAS)
Listing status	Not listed on any stock exchange; reported on the Electronic Trading Platform
Governing law	Laws of Malaysia
Shariah adviser	Ibnu Hakim Shariah Advisory Sdn Bhd

4.2 Principal amount and denomination

The Issuer proposes to issue RM3,500,000 in nominal value of Sukuk under the Sukuk Murabahah Programme. The Sukuk will be issued in denominations of RM1,000 nominal value per unit. Trading in the secondary market shall be in minimum blocks of RM250,000 nominal value or such other amount as may be prescribed by the operator of RENTAS from time to time.

The Sukuk constitute direct obligations of the Issuer. They are offered through the Tokenkan platform in fractional interests, and are accordingly available to investors who have completed the suitability assessment operated by the platform, including individual investors. Prospective investors should note that eligibility to subscribe is determined by the platform operator in accordance with the requirements applicable to it, and that this document is a disclosure document rather than an invitation extended generally to the public.

4.3 Profit rate and payment

The Sukuk carry a profit rate of 7.50 per cent. per annum on the nominal value, fixed for the full tenure of three years. The semi-annual profit amount is RM131,250 on the full issue, equivalent to RM3.75 per RM100 of nominal value held. Under the Murabahah structure the aggregate profit is fixed at the outset as part of the deferred sale price. This is the highest rate on the Platform, and investors should understand it as compensation for the absence of a rating, the small size of the Issuer, and its short record as a listed company rather than as a mark of quality.

Profit payments shall be made in arrears on the profit payment dates specified above. Where a profit payment date falls on a day which is not a business day, payment shall be made on the immediately succeeding business day without any adjustment to the amount payable, in accordance with the Following Business Day Convention (unadjusted).

The following table sets out the indicative profit payment schedule for the issuance, assuming the full nominal amount remains outstanding

throughout the tenure and no early redemption occurs.

Period	Profit payment date	Indicative payment (RM'000)
Period 1	18 May 2027	131
Period 2	18 November 2027	131
Period 3	18 May 2028	131
Period 4	18 November 2028	131
Period 5	18 May 2029	131
Period 6 (final)	18 November 2029	3,631 (including nominal value of 3,500)

The schedule above is indicative only. Actual amounts payable will be computed on an Actual/365 (Fixed) basis by reference to the number of days in each profit period.

4.4 Maturity structure

The Sukuk are structured as a single bullet maturity. The full nominal value of RM3,500,000 falls due on 18 November 2029 together with the final profit payment. The Issuer intends to meet this from accumulated operating cash flow and refinancing secured on the factory premises. Investors should note that free cash flow after capital expenditure was negative in each of the three years under review, at minus RM1.2 million, minus RM1.4 million and minus RM1.4 million, because the Issuer is investing in capacity faster than it generates cash. Repayment will therefore depend on either a slowdown in capital expenditure before 2029 or on refinancing.

4.5 Early redemption

The Sukuk incorporate the following early redemption provisions:

Optional early redemption (call)

The Issuer may, on any profit payment date falling on or after the second anniversary of the issue date, redeem all but not part only of the Sukuk on not less than thirty days' notice, at 101.25 per cent. of nominal value together with accrued and unpaid profit.

Mandatory redemption on loss of principal regulatory approvals

If the Medical Device Authority licence of the Issuer, or its ISO 13485 certification, is revoked or suspended for a continuous period exceeding ninety days, the Issuer shall redeem the Sukuk at nominal value together with accrued profit within one hundred and twenty days. Investors should read this together with Section 7.3, since regulatory approval is the precondition of the business rather than an administrative formality.

Mandatory redemption on loss of the principal OEM customer

If the supply agreement with the principal original equipment manufacturer customer described in Section 7.2 is terminated or expires without renewal on substantially equivalent terms, and replacement orders representing not less than sixty per cent. of the revenue previously derived from that customer are not secured within one hundred and eighty days, Sukukholders may by extraordinary resolution require redemption at nominal value together with accrued profit.

Redemption following a change of control

Upon a change of control, being an event whereby Dr. Tan Chee Wei and MediQ Ventures Sdn Bhd cease collectively to hold, directly or indirectly, more than thirty per cent. of the voting shares of the Issuer, each Sukukholder may require redemption at nominal value together with accrued profit within sixty days.

Redemption for taxation or Shariah reasons

The Issuer may redeem all but not part only of the Sukuk at nominal value together with accrued profit if a change in Malaysian tax law obliges it to pay additional amounts, or if the Shariah Adviser determines the structure has ceased to be Shariah compliant and the deficiency is not remedied within ninety days.

No investor put

Save on a change of control, investors have no right to require redemption before maturity. Exit before maturity is available only through the Anchor Investor standing bid described in Section 9.5.

4.6 Security and collateral

These Sukuk are secured. The Platform required security as a condition of originating an unrated issue for retail distribution, and the security here is materially better than on the other unrated offering on the Platform, for the reasons set out below.

The security comprises:

- a second-ranking charge over the Kulim factory premises, a 4.2 acre freehold industrial property with a purpose-built cleanroom facility, valued at RM26.4 million by the Independent Valuer in August 2026 on an existing use basis;
- a debenture creating fixed and floating charges over the present and future assets of the Issuer, including moulding plant, cleanroom equipment, inventories and receivables;
- an assignment of the trade receivables due from the principal OEM customer and from the three largest hospital group distributors, which together generated RM18.4 million in FY2025, into a designated account under the control of the Trustee following an event of default; and

- a corporate guarantee from MediQ Ventures Sdn Bhd, the controlling shareholder.

What the security is realistically worth

The factory charge is the substantive protection and the arithmetic is more favourable than investors might expect on an issue of this size. The property is valued at RM26.4 million and carries existing Islamic term financing of RM9.6 million ranking ahead, leaving RM16.8 million of equity against RM3.5 million of Sukuk, a cover of 4.8 times.

Investors should nonetheless apply two discounts to that figure. First, a purpose-built cleanroom facility is a specialised asset with a limited pool of buyers, so a forced sale would realise materially below an existing use valuation. Second, the valuation assumes the facility remains certified and operable; a facility that has lost its regulatory approvals is worth considerably less, and the circumstances producing a default would often be the same circumstances that cost the Issuer its certification.

Even after both discounts, cover of 4.8 times before them gives more room than most small issues provide, and the security covenant in Section 4.8 requires it to remain above 1.30 times.

4.7 Ranking of investors

The Sukuk constitute direct, unconditional and unsubordinated obligations of the Issuer, secured as described in Section 4.6 and ranking pari passu among themselves.

On the factory premises, the Sukuk rank behind existing Islamic term financing of RM9.6 million and ahead of all unsecured creditors. Under the debenture, the Sukuk rank ahead of unsecured creditors in respect of the plant, equipment, inventories and receivables charged, subject to the prior claims of the equipment financiers described in Section 6.6 over the specific equipment they financed.

In respect of any shortfall not recovered from the security, Sukukholders would rank as unsecured creditors, behind winding-up costs and preferential claims including employee entitlements. The Issuer employed 212 persons as at 31 December 2025.

Fractional interests rank equally with whole units and with the Anchor Investor allocation.

4.8 Covenants

The Trust Deed contains positive, negative and financial covenants customary for an issuance of this nature. The principal financial covenants, to be tested semi-annually by reference to the audited consolidated financial statements of the Issuer and, where applicable, its unaudited semi-annual management accounts, are as follows:

Financial covenant	Required level	Position as at 31 December 2025
Gross gearing ratio (total financing to total equity)	Not more than 1.75 times	1.03 times
Total financing to EBITDA	Not more than 4.00 times	2.7 times
EBITDA to finance costs	Not less than 2.00 times	3.44 times
Security cover (charged property value net of prior charge to Sukuk outstanding)	Not less than 1.30 times	4.80 times
Consolidated shareholders' funds	Not less than RM15.0 million	RM19.3 million

The principal negative covenants restrict the Issuer from, among other things: (a) creating or permitting to subsist any security interest over its assets other than permitted security; (b) disposing of a material part of its assets otherwise than on arm's length terms in the ordinary course of business; (c) undertaking any substantial change to the general nature of its business; (d) entering into any amalgamation, demerger, merger or corporate reconstruction which would have a material adverse effect; and (e) declaring or paying any dividend or making any distribution where an event of default is continuing or would result from such payment.

4.9 Events of default

The occurrence of any of the following shall constitute an event of default, subject to the grace periods specified in the Trust Deed: non-payment of any amount due under the Sukuk within seven business days of the due date; breach of any financial covenant; breach of any other obligation which is not remedied within thirty days of notice; cross-default in respect of any other financial indebtedness of the Issuer or any material subsidiary exceeding RM25.0 million in aggregate; the commencement of insolvency, winding-up or receivership proceedings; the cessation or material change of business; the invalidity or unenforceability of any Transaction Document; and the occurrence of any event having a material adverse effect on the ability of the Issuer to perform its payment obligations.

Upon the occurrence of an event of default which is continuing, the Trustee may, and shall if so directed by an extraordinary resolution of the Sukukholders, declare the Sukuk to be immediately due and payable at their nominal value together with accrued and unpaid profit.

4.10 Roles and parties

Originating Platform	Tokenkan Capital Sdn Bhd (Registration No. 202301009284 (1502773-D))
Registrar and Paying Agent	Tokenkan Capital Sdn Bhd
Digital Asset Custodian	Sentinel Digital Custody Sdn Bhd, registered with the Securities Commission Malaysia
Trustee	Amanah Wilayah Trustee Berhad
Shariah Adviser	Ibnu Hakim Shariah Advisory Sdn Bhd
Auditor	Cheong Rahmat & Co. PLT
Solicitors	MediQ Peranti Bhd Secured Sukuk Murabahah RM3,500,000 Unrated Originated on Tokenkan Zulkarnain Hew & Co.

Independent Valuer	Chandra Nakamura Valuers Sdn Bhd
Anchor Investor	Nusantara Sustainable Credit Fund, a professional credit fund managed by Nusantara Asset Management Sdn Bhd

5. USE OF PROCEEDS

5.1 Summary of application

The gross proceeds of RM3,500,000 are to be applied as set out below. The Issuer confirms that the proceeds will not be applied to any activity which is not Shariah compliant.

Application	Amount (RM'000)	Proportion	Expected timing
Cleanroom expansion and injection moulding equipment	1,850	52.9%	Q1 2027 to Q3 2028
Regulatory approval and certification programme	620	17.7%	Q1 2027 to Q4 2028
Refinancing of existing equipment financing	700	20.0%	Within 30 days of issue
Working capital	175	5.0%	As required
Expenses of the offering (see 5.2)	155	4.4%	On issue
Total gross proceeds	3,500	100.0%	

5.2 Expenses of the offering, including Platform fees

This offering is originated on the Tokenkan platform rather than arranged by an investment bank, and the fee structure differs from that of a conventional issuance. It is set out in full below, because the economic case for this offering rests on that difference and investors are entitled to test it.

The Platform charges the Issuer a tiered origination and listing fee, at 2.5 per cent. of nominal value for issues of RM1 million to RM5 million, 1.5 per cent. from RM5 million to RM10 million and 1.0 per cent. above RM10 million, subject in each case to a minimum of RM25,000. This issue falls in the 2.5 per cent. tier, giving a fee of RM87,500.

Payee	Amount (RM'000)	Basis
Tokenkan Capital Sdn Bhd - origination and listing fee	88	2.5% of nominal value (RM1m-RM5m tier)
Trustee - acceptance and annual fees (3 years)	26	Fixed
Solicitors (including security documentation)	16	Fixed
Shariah Adviser	14	Fixed
Independent Valuer and reporting accountants	11	Fixed
Total charged against proceeds	155	

The total cost of this issuance is RM155,000, being 4.43 per cent. of nominal value. Investors should compare this against the fixed cost of a conventional issuance, which the Issuer estimates at RM1.4 million to RM1.9 million irrespective of size once rating, trustee, legal, Shariah advisory, registry, settlement and underwriting fees are aggregated. On an issue of RM3,500,000 a conventional cost base of that order would consume between 40 per cent. and 54 per cent. of the proceeds, which is the reason this issuance would not otherwise have taken place.

Fees charged to investors

Investors pay no fee on subscription. The Platform charges a transaction fee of 1.0 per cent. on every purchase and on every sale executed through it, including a sale into the standing bid described in Section 9.5. On a subscription of RM200 the fee is RM2.

Investors should note the effect of this on a short holding period. An investor who subscribes and later sells into the standing bid pays 1.0 per cent. on the way in and 1.0 per cent. on the way out, and bears the standing bid discount described in Section 9.5 in addition. Round-trip cost is therefore material relative to a single periodic distribution, and this instrument is not suited to short-term trading.

5.3 Description of each application

Cleanroom expansion and moulding equipment

RM1.85 million will fund the extension of the second cleanroom by approximately 640 square metres, two additional injection moulding machines with associated tooling, and expansion of the quality control laboratory.

The commercial case rests on utilisation. Cleanroom capacity is currently 88 per cent. utilised, and the Issuer has declined two contract manufacturing enquiries during 2026 for want of capacity. The expansion is expected to raise capacity by approximately thirty per cent., sufficient to accommodate both the volume growth contemplated under the OEM agreement and additional own-brand and contract volume.

Investors should note that this expansion is not contracted against committed orders. It is capacity built in anticipation of demand, and if that demand does not arrive the Issuer will carry the depreciation and financing cost of an underused facility. Commissioning is expected in the second half of 2028, while profit payments begin in May 2027.

Regulatory approval and certification programme

RM620,000 will fund the regulatory submissions required to open larger markets: United States Food and Drug Administration 510(k) clearance for one diagnostic device, extension of CE marking under the EU Medical Device Regulation to a third product line, and registration of four additional devices with the Medical Device Authority.

This is the element with the widest range of outcomes. Approval processes of this kind typically take twelve to twenty-four months, may require additional clinical or bench testing at further cost, and can be refused. If the 510(k) clearance is not obtained, the largest single market the expansion was intended to serve remains closed, and the commercial case for the cleanroom expansion weakens correspondingly. Investors should not assume success.

Refinancing

RM700,000 will prepay equipment financing carrying floating rates and maturing within two years. This extends the weighted average maturity of financing from 4.2 years to 4.8 years and increases the fixed rate proportion from 61 to 74 per cent.

Working capital

RM175,000 will fund the additional qualified inventory required to support higher volumes. Medical device manufacture requires validated stock to be held at each production stage, so working capital rises with volume rather than being reducible.

5.4 Management of proceeds

Proceeds will be credited on the issue date to a Disbursement Account operated by the Issuer under the supervision of the Trustee. Withdrawals require a certificate of two authorised officers confirming the amount is required for an application in Section 5.1, supported by supplier invoices and contractor certificates for the cleanroom and equipment, evidence of submission for regulatory expenditure, and the redemption statement of the relevant financier for the refinancing.

Pending application, balances may be invested only in Shariah-compliant liquid instruments issued or guaranteed by the Government of Malaysia or licensed Malaysian financial institutions, of a tenure not exceeding three months.

The Issuer may reallocate up to ten per cent. of gross proceeds between the applications in Section 5.1 on notice to the Trustee. Any greater reallocation requires the approval of Sukukholders by extraordinary resolution.

The Issuer will report quarterly through the Platform on the application of proceeds, on cleanroom utilisation and capacity, on the status of each regulatory submission, on the standing of the OEM supply agreement, and on compliance with the covenants in Section 4.8, including the security cover test.

5.5 If the offering is not fully subscribed

This offering is not underwritten. The Anchor Investor has committed to its allocation of RM2,300,000 but will not absorb any part of the retail tranche which is not taken up.

The minimum level of subscription for the retail tranche is RM600,000, being half of it. If retail subscriptions fall below that level at the close of the offer period, the offering is withdrawn in its entirety, including the Anchor Investor allocation, and all subscription monies are returned in full within five business days without profit. Subscription monies are held in a segregated client account with a licensed Malaysian bank throughout the offer period and form no part of the assets of the Issuer or of the Platform.

If retail subscriptions reach RM600,000 but fall short of RM1,200,000, the offering proceeds at the amount raised, applied in the order: expenses; refinancing; the regulatory programme; then the cleanroom expansion, which would be reduced in scope. The profit rate does not change.

Investors should note that the security described in Section 4.6 is granted in full irrespective of the amount raised. A smaller issue therefore carries proportionately better security cover for those who do subscribe: at RM2.3 million outstanding, cover would be 7.30 times rather than 4.80 times.

5.6 Expected effect

- an increase in cleanroom capacity of approximately thirty per cent., commissioning in the second half of 2028;
- two additional injection moulding machines and expanded quality control laboratory capability;
- if the regulatory submissions succeed, access to the United States market for one diagnostic device and to the European Union for a third product line;
- extension of the weighted average maturity of financing from 4.2 to 4.8 years and an increase in the fixed rate proportion from 61 to 74 per cent.;
- gross gearing rising from 1.03 to 1.18 times and financing to EBITDA from 2.7 to 3.1 times, as set out in Section 6.5.

6. FINANCIAL INFORMATION

The financial information set out in this section has been extracted from the audited consolidated financial statements of the Issuer for the three financial years ended 31 December 2023, 2024 and 2025, which were prepared in accordance with Malaysian Financial Reporting Standards and the requirements of the Companies Act. The auditors of the Issuer, Cheong Rahmat & Co. PLT (AF 1264), issued unqualified audit opinions in respect of each of the three financial years presented.

Investors should read the financial information below together with the accompanying commentary and the risk factors set out in Section 7. Historical results are not necessarily indicative of results that may be expected for any future period.

6.1 Consolidated statements of comprehensive income

All amounts are stated in RM'000 unless otherwise indicated. Figures in parentheses denote negative amounts.

	FY2023	FY2024	FY2025
Revenue	24,600	29,800	35,400
Cost of sales	14,800	17,600	20,600
Gross profit	9,800	12,200	14,800
Other operating income	240	300	360
Administrative and other operating expenses	5,600	6,600	7,800
EBITDA	4,440	5,900	7,360
Depreciation and amortisation	1,800	2,100	2,500
Operating profit (EBIT)	2,640	3,800	4,860
Finance costs	1,680	1,920	2,140
Profit before taxation	960	1,880	2,720
Taxation	260	460	680
Profit for the financial year	700	1,420	2,040
EBITDA margin (%)	18.0	19.8	20.8
Net profit margin (%)	2.8	4.8	5.8

Revenue increased from RM24.6 million in FY2023 to RM29.8 million in FY2024 and RM35.4 million in FY2025, growth of 21.1 per cent. and 18.8 per cent. Growth came from higher volumes under the OEM supply agreement, from expansion of the own-brand diagnostic range into two additional hospital groups, and from contract manufacturing for two smaller customers.

Gross profit increased from RM9.8 million to RM14.8 million, with the gross margin holding at approximately 41.8 per cent. across the period. Stability rather than expansion is the relevant observation: the Issuer has passed volume growth through to profit without improving pricing, which is consistent with the competitive pressure described in Section 7.2.

EBITDA increased from RM4.44 million to RM7.36 million and the EBITDA margin from 18.0 per cent. to 20.8 per cent. Finance costs increased from RM1.68 million to RM2.14 million.

Profit for the financial year increased from RM700,000 to RM2.04 million and the net margin from 2.8 per cent. to 5.8 per cent. Investors should note how thin the FY2023 figure was in absolute terms: RM700,000 of profit on RM24.6 million of revenue leaves very little margin for error in a company of this size.

6.2 Consolidated statements of financial position

	FY2023	FY2024	FY2025
<i>NON-CURRENT ASSETS</i>			
Factory premises, cleanroom, moulding plant and equipment	22,400	25,600	29,200
Product registrations, deferred tax assets and other non-current assets	1,200	1,400	1,600
<i>Total non-current assets</i>	<i>23,600</i>	<i>27,000</i>	<i>30,800</i>
<i>CURRENT ASSETS</i>			
Trade receivables from distributors, hospitals and OEM customers	5,800	7,200	8,600
Raw polymer, components, work in progress and finished goods	6,400	7,800	9,200
Prepayments, deposits and other current assets	900	1,100	1,300
Cash, bank balances and Islamic deposits	2,800	3,400	4,600
<i>Total current assets</i>	<i>15,900</i>	<i>19,500</i>	<i>23,700</i>
TOTAL ASSETS	39,500	46,500	54,500
<i>EQUITY</i>			
Share capital	14,000	14,000	14,000
Reserves and retained earnings	1,800	3,220	5,260
<i>Total equity</i>	<i>15,800</i>	<i>17,220</i>	<i>19,260</i>
<i>NON-CURRENT LIABILITIES</i>			
Islamic financing – non-current	10,000	12,000	14,000
Deferred tax, lease liabilities and employee benefit provisions	1,800	2,100	2,400
<i>Total non-current liabilities</i>	<i>11,800</i>	<i>14,100</i>	<i>16,400</i>
<i>CURRENT LIABILITIES</i>			
Islamic financing – current	3,600	4,600	5,800
Trade payables and accruals	6,400	8,200	10,200
Other payables, customer advances and taxation	1,900	2,380	2,840
<i>Total current liabilities</i>	<i>11,900</i>	<i>15,180</i>	<i>18,840</i>
<i>Total liabilities</i>	<i>23,700</i>	<i>29,280</i>	<i>35,240</i>
TOTAL EQUITY AND LIABILITIES	39,500	46,500	54,500

Total assets increased from RM39.5 million to RM54.5 million over the review period. Factory premises, cleanroom, moulding plant and equipment stood at RM29.2 million as at 31 December 2025, being 53.6 per cent. of total assets, and inventories and receivables together RM17.8 million.

Unlike the leasehold-heavy issuers on the Platform, the fixed assets here include a freehold factory the Issuer owns, which is what makes the security in Section 4.6 possible. Investors should note the contrast: an owned industrial property with a professional valuation is a materially better security asset than leasehold fit-out.

Total equity increased from RM15.8 million to RM19.3 million through retained earnings. Share capital was unchanged at RM14.0 million following the 2024 listing. Total financing increased from RM13.6 million to RM19.8 million.

Gross gearing rose from 0.86 times to 1.03 times against a covenanted maximum of 1.75 times. Investors should note the direction: gearing is rising, not falling, because the Issuer is funding capacity expansion with debt. Financing to EBITDA nonetheless improved from 3.1 to 2.7 times as earnings grew faster than borrowings.

The current ratio declined from 1.34 to 1.26 times, reflecting growth in payables alongside inventory and receivables.

6.3 Consolidated statements of cash flows (summary)

	FY2023	FY2024	FY2025
Net cash generated from operating activities	2,400	3,200	4,400
Net cash used in investing activities	(3,600)	(4,600)	(5,800)
Net cash from/(used in) financing activities	1,400	2,000	2,600
<i>Net increase/(decrease) in cash and cash equivalents</i>	<i>200</i>	<i>600</i>	<i>1,200</i>
Cash and cash equivalents at beginning of year	2,600	2,800	3,400
Cash and cash equivalents at end of year	2,800	3,400	4,600

Net cash generated from operating activities increased from RM2.40 million in FY2023 to RM4.40 million in FY2025, with conversion

against EBITDA of 54.1, 54.2 and 59.8 per cent. Conversion is modest because growth absorbs cash into inventory and receivables; medical device manufacturing requires qualified stock held at each stage and distributors pay on extended terms.

Net cash used in investing activities of RM3.60 million, RM4.60 million and RM5.80 million comprises cleanroom capacity, moulding tools, quality laboratory equipment and product registration costs capitalised.

Free cash flow was therefore negative in every year, at minus RM1.20 million, minus RM1.40 million and minus RM1.40 million, funded by financing inflows of RM1.40 million, RM2.00 million and RM2.60 million. Investors should register this plainly: the Issuer does not fund its own growth and has not generated surplus cash in any year presented.

6.4 Selected financial ratios

Ratio	FY2023	FY2024	FY2025
EBITDA margin (times revenue, %)	18.0	19.8	20.8
Return on equity (%)	4.4	8.2	10.6
Total borrowings (RM'000)	13,600	16,600	19,800
Net debt (RM'000)	10,800	13,200	15,200
Gross gearing (times)	0.86	0.96	1.03
Net gearing (times)	0.68	0.77	0.79
Total borrowings / EBITDA (times)	3.1	2.8	2.7
EBITDA / finance costs (times)	2.6	3.1	3.4
Current ratio (times)	1.34	1.28	1.26

Gross gearing rose from 0.86 to 1.03 times against a covenanted maximum of 1.75 times, and would be 1.18 times on a pro forma basis following this issue.

Financing to EBITDA improved from 3.1 to 2.7 times against a covenanted maximum of 4.00 times, and would be 3.1 times pro forma. EBITDA cover of finance costs improved from 2.6 to 3.4 times against a covenanted minimum of 2.00 times.

The sensitivity that matters is the OEM customer. If that relationship were lost and not replaced, revenue would fall by approximately 41.8 per cent. On the FY2025 cost structure, with cleanroom overheads largely fixed, EBITDA would fall to approximately RM2.4 million. On the pro forma financing of RM22.6 million that gives financing to EBITDA of approximately 9.4 times and coverage of approximately 1.0 times, both far outside covenant. Investors should understand that the covenants would not survive the loss of this customer, and that the mandatory redemption mechanism in Section 4.5 exists for exactly that reason.

Security cover stands at 4.80 times against a covenanted minimum of 1.30 times, which is the most comfortable protection in this document and the reason the Platform was willing to originate an unrated issue for retail distribution.

Return on equity improved from 4.4 to 10.6 per cent.

6.5 Pro forma effect of the issuance

The table below illustrates the effect of the issuance on the consolidated statement of financial position of the Issuer as at 31 December 2025, on the assumption that the issuance had been completed on that date and that the proceeds were applied in the manner described in Section 5. The pro forma information is presented for illustrative purposes only and does not purport to represent the actual financial position of the Issuer following the issuance.

	Audited as at 31 December 2025	Pro forma after issuance
Cash, bank balances and deposits	4,600	7,245
Total assets	54,500	57,145
Total financing	19,800	22,600
Total liabilities	35,240	38,040
Total equity	19,260	19,105
Gross gearing (times)	1.03	1.18
Total financing / EBITDA (times)	2.7	3.1

The pro forma assumes gross proceeds of RM3.5 million, application of RM700,000 to prepayment of existing equipment financing within thirty days of issue, and RM155,000 of offering expenses charged against equity.

Gross gearing would rise from 1.03 to 1.18 times and financing to EBITDA from 2.7 to 3.1 times, both within covenant. Security cover would remain at 4.80 times, since the charged property value is unaffected and the prior-ranking financing is unchanged.

The pro forma reflects no contribution from the cleanroom expansion, which is expected to commission in the second half of 2028, or from the regulatory programme, which will not produce revenue before 2029 if the approvals are obtained at all. Profit payments begin in May 2027.

6.6 Existing borrowings

As at 31 December 2025, the total borrowings of the Group amounted to RM19.8 million, comprising the facilities summarised below. The Issuer confirms that it has not defaulted on any payment of principal or profit in respect of any of its borrowings during the three financial years under review.

Facility	Outstanding (RM'000)	Maturity profile
Islamic term financing – Kulim factory premises (secured, first ranking)	9,600	Semi-annual instalments to 2036
Equipment financing – moulding and cleanroom plant (secured on the equipment)	4,400	Monthly instalments to 2031
Current portion of financing, revolving credit and receivables financing	5,800	Within 12 months
Total financing	19,800	

7. RISK FACTORS

Before making an investment decision, prospective investors should carefully consider all the information contained in this document, including in particular the risk factors set out below. The risks described are those which the Issuer currently considers material. They are not exhaustive, and additional risks not presently known to the Issuer, or which the Issuer currently considers immaterial, may also impair its business, financial condition and ability to meet its obligations under the Sukuk.

If any of the following risks materialises, the business, financial condition, results of operations and prospects of the Issuer could be materially and adversely affected. In such circumstances, the Issuer may be unable to pay profit on, or repay the nominal value of, the Sukuk, and investors may lose part or all of their investment.

7.1 Risks relating to the Issuer and the Sukuk

Credit risk

The Sukuk represent unsecured or, where applicable, secured obligations of the Issuer alone. Payment of profit and the repayment of the nominal value depend entirely upon the ability of the Issuer to generate sufficient cash flow from its operations, or to obtain sufficient funds from other sources, at the relevant times. Neither the Trustee, the Platform through which this offering was originated and distributed, nor any other party has guaranteed or assumed any obligation in respect of the payment obligations of the Issuer. In particular, investors should note that this offering was not underwritten and that no arranger stands behind it.

A deterioration in the operating performance of the Issuer, an adverse change in its capital structure, the loss of one or more significant customers or contracts, or an unexpected increase in its cost base could impair its ability to service the Sukuk. As at 31 December 2025, the Group had total borrowings of RM19.8 million against total equity of RM19.3 million, representing a gross gearing ratio of 1.03 times and total borrowings to EBITDA of 2.7 times.

Refinancing risk

The Sukuk are repayable in a single bullet payment at maturity, and the Issuer does not expect to accumulate a sinking fund sufficient to retire the full nominal amount from operating cash flow alone. The Issuer therefore expects to refinance all or a substantial part of the Sukuk at or before maturity. The ability of the Issuer to refinance will depend on conditions in the Malaysian debt capital and bank loan markets at the relevant time, on its credit standing and rating at that time, and on investor appetite for the sector in which it operates. There is no assurance that refinancing will be available on acceptable terms, or at all.

Profit rate risk

The Sukuk carry a fixed profit rate. The market value of fixed-rate debt securities generally moves inversely with prevailing market yields: if benchmark yields, including the yields on Malaysian Government Securities and Government Investment Issues, rise after the issue date, the market value of the Sukuk is likely to fall. Investors who sell the Sukuk before maturity may therefore realise less than the nominal value, and in adverse conditions materially less. Investors who hold the Sukuk to maturity are not exposed to this price risk, but bear the opportunity cost of being locked into a fixed profit rate for the tenure of the instrument.

The Issuer is separately exposed to profit rate risk on its floating-rate bank borrowings, which are typically priced against the relevant cost of funds of the lending institutions. An increase in the Overnight Policy Rate set by the central bank would increase the finance costs of the Group and reduce the headroom available under its profit cover covenant.

Liquidity risk of the Sukuk

The Sukuk will not be listed or quoted on any stock exchange, and the Platform does not operate an order book. Operating a venue that matches buyers and sellers of capital market products would require registration as a Recognized Market Operator, which the Platform has not yet obtained. Exit before maturity is therefore available only through the standing bid maintained by the Anchor Investor at the published formula price described in Section 9.5. That bid is a contractual undertaking of a single counterparty, not a market. It is capped at RM60,000 of nominal value in aggregate in any calendar month, may be suspended in the circumstances set out in Section 9.5, and terminates if the Anchor Investor ceases to hold at least half of its original allocation. Peer-to-peer transfer between investors is intended to follow in phase two once Recognized Market Operator registration is obtained, but no date is committed and investors should not subscribe in reliance on it. An investor who may need the money before 18 November 2029 should treat this offering as unsuitable.

Liquidity and working capital risk of the Issuer

The Issuer requires liquidity to fund its operations, service its debt and meet its capital commitments. As at 31 December 2025, the Group held cash and bank balances of RM4.6 million and recorded a current ratio of 1.26 times. An unexpected lengthening of the collection cycle, the withdrawal of uncommitted banking lines, or a requirement to post additional performance security could strain the liquidity position of the Group.

Rating risk

No rating agency has been appointed and these Sukuk are unrated. Investors therefore have no independent professional opinion on the creditworthiness of the Issuer, no continuous surveillance of that opinion, and no downgrade signal to warn them of deterioration. On a rated issue, a rating agency reviews the credit at least annually and will place it on watch or downgrade it if conditions worsen, and that signal is public. Here there is no such mechanism. Investors depend instead on the security described in Section 4.6, on the semi-annual covenant compliance certificates delivered to the Trustee under Section 4.8, on the quarterly reporting the Issuer has undertaken to publish through the Platform, and on the continuing disclosure obligations applicable to it as an ACE Market listed company. Those are materially less than a rating provides, and investors should weigh the fact that the Issuer has been subject to those listing obligations only since February 2024.

Subordination and structural risk

The Issuer manufactures directly and holds the Kulim factory premises directly, so there is limited structural subordination of the conventional kind and Sukukholders are creditors of the entity owning the charged asset. Two subsidiaries carry their own arrangements: MediQ Distribution Sdn Bhd, which holds the distribution agreements with hospital groups and carries a receivables financing facility of RM2.8 million, and MediQ Innovations Sdn Bhd, which holds the product registrations for the own-brand diagnostic range. In an insolvency of MediQ Distribution Sdn Bhd, its receivables financier would be satisfied out of the receivables it has financed before any surplus reached the Issuer. The Issuer has guaranteed RM2.8 million of that facility, which would rank alongside any unsecured shortfall on the Sukuk if called.

Enforcement risk

In the event of a default, the ability of the Trustee to enforce on behalf of Sukukholders may be constrained by the time and cost of legal proceedings in Malaysia, by the availability and realisable value of any security, by the rights of preferential and secured creditors ranking ahead of the Sukuk, and by the terms of any court-sanctioned scheme of arrangement or judicial management order to which the Issuer may become subject. Recoveries following enforcement may be substantially less than the nominal value of the Sukuk and may be received only after considerable delay.

Modification and sukukholders decisions

The Trust Deed provides for meetings of Sukukholders to consider matters affecting their interests generally. Resolutions passed by the requisite majority at a duly convened meeting bind all Sukukholders, including those who did not attend or vote and those who voted against the resolution. The Trustee is also empowered, without the consent of Sukukholders, to agree to modifications of a formal, minor or technical nature or which are made to correct a manifest error.

7.2 Risks relating to the industry and operations of the Issuer

Single OEM customer concentration

The principal OEM customer accounted for RM14.8 million, or 41.8 per cent., of FY2025 revenue. The Issuer manufactures single-use consumables to that customer's specification and under its label, and the current supply agreement runs to December 2028, eleven months before these Sukuk mature.

Renewal is at the discretion of the customer and depends on price, quality performance and the customer's own sourcing strategy, including any decision to consolidate manufacturing or shift it to a lower-cost jurisdiction. Loss of the agreement would remove more than two fifths of revenue and would leave the Issuer with cleanroom capacity built for that volume.

Investors have the mandatory redemption mechanism in Section 4.5 and the receivables assignment in Section 4.6, but neither prevents the loss, and a redemption obligation is only as good as the ability of the Issuer to pay it in that scenario.

Regulatory approval as a precondition of trading

Unlike most manufacturers, the Issuer cannot sell anything without regulatory approval. It requires a Medical Device Authority establishment licence, product registration for each device, and ISO 13485 certification to supply its OEM customer and to export.

The consequence is that a quality system failure is not merely a cost but a stoppage. A suspension of certification halts supply to the OEM customer immediately and would likely end that relationship regardless of whether the suspension was later lifted.

Product liability and recall

A defect in a single-use medical consumable can cause patient harm, and the Issuer bears liability for the products it manufactures even where they carry another party's label, subject to the terms of its supply agreements.

A recall would involve the cost of retrieval and replacement, potential claims, regulatory investigation, and damage to the OEM relationship. Insurance cover of RM20.0 million per occurrence exceeds the size of this issue but is not unlimited and would not protect the commercial relationship.

New product and export approval risk

RM620,000 of the proceeds funds a regulatory programme including United States Food and Drug Administration 510(k) clearance for a diagnostic device. Such processes typically take twelve to twenty-four months, may require additional testing, and can fail.

The commercial case for the cleanroom expansion assumes those approvals are obtained. If they are not, the Issuer will have added capacity without the market access to fill it, and the expenditure would produce no return.

Raw material price and supply volatility

The Issuer converts medical-grade polymers, principally polypropylene and polycarbonate, into finished devices. Those inputs are petrochemical derivatives whose prices move with oil and with global capacity, and medical-grade specification limits the pool of qualified suppliers.

Supply agreements with the OEM customer contain limited pass-through of input cost increases and are repriced annually rather than continuously, so a mid-year input cost rise is absorbed by the Issuer. Inventories of RM9.2 million as at 31 December 2025 also expose the Issuer to price declines.

Competition from lower-cost regional manufacturers

Single-use consumable manufacture is contestable, and the Issuer competes against manufacturers in China, Vietnam and India with lower labour and overhead costs. Its defence is proximity to customers, ISO certification, and a quality record, none of which is permanent.

Gross margin held at approximately 41.8 per cent. over the review period, but investors should expect pricing pressure on renewal of the OEM agreement rather than margin expansion

Negative free cash flow and capacity investment ahead of revenue

Free cash flow after capital expenditure was negative RM1.2 million, RM1.4 million and RM1.4 million in the three years under review. The Issuer is building capacity faster than it generates cash, funded by financing drawdowns and by its 2024 listing proceeds.

This is a deliberate growth strategy and it has produced revenue growth of 21.1 per cent. and 18.8 per cent. But it means the Issuer will not accumulate cash to retire these Sukuk, and repayment depends on capital expenditure slowing before 2029 or on refinancing being available.

7.3 Regulatory and compliance risks

Changes in law, regulation and government policy

The Issuer requires an establishment licence from the Medical Device Authority of Malaysia and product registration for each device it manufactures or distributes. Suspension or revocation of the licence would halt manufacturing entirely, which is why the mandatory redemption in Section 4.5 is triggered by a suspension exceeding ninety days.

The Issuer maintains ISO 13485 quality management system certification, which is a precondition of supplying its OEM customer and of exporting to most markets. Certification is subject to periodic surveillance audit, and a major non-conformity finding can lead to suspension. The Issuer received one minor non-conformity finding during the review period, which was closed within the required period.

Export markets impose their own approvals. The Issuer holds CE marking under the European Union Medical Device Regulation for two product lines and is pursuing United States Food and Drug Administration 510(k) clearance for a third, funded in part by this issue. Those processes are lengthy, costly and not assured of success.

Product liability and recall obligations apply to medical devices. A device defect can require field correction or recall, expose the Issuer to claims, and damage the OEM relationship on which it depends. The Issuer maintains product liability insurance of RM20.0 million per occurrence, which investors should note is not unlimited.

As an ACE Market listed issuer the Issuer is subject to the ACE Market Listing Requirements, including continuing disclosure, Sponsor retention for the prescribed period, and the financial condition provisions applicable to listed issuers.

Manufacturing operations are subject to occupational safety, environmental and waste requirements, including those applicable to polymer processing and to the disposal of medical-grade waste.

Taxation

Statements in this document concerning taxation are based on the laws and practice in force at the date of this document. Changes in tax legislation, in the interpretation or administration of tax legislation by the Inland Revenue Board, or in the availability of incentives currently enjoyed by the Group could increase the effective tax rate of the Group and reduce the cash flow available for debt service. Prospective investors should consult their own tax advisers as to the tax consequences of acquiring, holding and disposing of the Sukuk.

Anti-money laundering and sanctions

The Group is subject to anti-money laundering, counter-terrorism financing and sanctions regimes applicable in Malaysia and in the jurisdictions in which it operates or into which it sells. A failure by the Group or its counterparties to comply with these regimes could result in fines, restrictions on banking relationships and reputational damage.

7.4 Operational risks

Dependence on key personnel

The performance of the Group depends to a significant extent on the continued service of its senior management team and of technical and operational personnel with specialised experience. Competition for such personnel in Malaysia is intense. The loss of one or more members of senior management, or an inability to attract and retain suitably qualified staff, could disrupt operations and impair the ability of the Group to execute its strategy.

Information technology and cyber security

The Group relies on information technology systems for its operational, financial and customer-facing processes. A material failure of these systems, a successful cyber intrusion, a ransomware incident or a breach of personal data protected under applicable data protection legislation could interrupt operations, expose the Group to regulatory penalties and civil claims, and damage its reputation.

Insurance

The Group maintains insurance cover which it considers appropriate for its operations, including property damage, business interruption, public liability and, where relevant, contractors' all risks cover. However, such cover is subject to policy limits, deductibles and exclusions, and certain risks are not commercially insurable. A loss which is uninsured, underinsured or excluded could have a material adverse effect on the financial condition of the Group.

Litigation and disputes

The Group is, from time to time, party to claims and disputes arising in the ordinary course of business. As at the date of this document, the Directors are not aware of any pending or threatened litigation which, if determined adversely, would have a material adverse effect on the financial condition of the Group. There is no assurance that material claims will not arise in future.

Related party transactions

The Group enters into transactions with related parties in the ordinary course of business. Although the Directors are of the view that such transactions are conducted on arm's length terms and on a basis not more favourable to the related party than to an unrelated third party, there is a risk that the terms of such transactions may differ from those which could be obtained from independent parties.

7.5 Forward-looking statements

This document contains forward-looking statements, including statements regarding the intentions, beliefs and current expectations of the Issuer concerning its results of operations, financial condition, liquidity, prospects, growth and strategy. Words such as anticipates, believes, estimates, expects, intends, may, plans, projects and targets, and similar expressions, are intended to identify such statements. Forward-looking statements are not guarantees of future performance and involve known and unknown risks, uncertainties and assumptions. Actual results may differ materially from those expressed or implied. The Issuer does not undertake any obligation to update or revise any forward-looking statement, save as required by law or by the terms of the Transaction Documents.

8. INVESTOR FREQUENTLY ASKED QUESTIONS

The questions and answers below are provided for the convenience of prospective investors and are intended as a plain-language guide only. They do not form part of the terms and conditions of the Sukuk and are qualified in their entirety by the detailed provisions of this document and of the Transaction Documents. In the event of any inconsistency, the Transaction Documents shall prevail.

What is the profit rate, and how is it determined?

The profit rate is 7.50 per cent. per annum on nominal value, fixed for three years. That is RM3.75 per RM100 held every six months, or RM7.50 a year. It is the highest rate on the Platform. Three things explain it: the issue is unrated, at RM3.5 million it is the smallest, and the Issuer has been a listed company only since February 2024 and therefore has a short public record. Investors are being paid for those uncertainties, not for a superior asset.

How often are payments made, and when will I receive them?

Profit is paid semi-annually in arrears in arrears on 18 May and 18 November of each year, with the first payment falling due on 18 May 2027 and the final payment falling due on the maturity date, 18 November 2029. Payments are made to the persons shown in the records of the depository at the close of business on the relevant record date, which falls two business days before the payment date. Payments are credited directly through RENTAS; no physical certificates are issued and no coupons need to be presented.

When will I get my principal back?

The full RM100 per RM100 of nominal value is repaid on 18 November 2029 together with the final profit payment. There is no amortisation. The Issuer may call the whole issue from the second anniversary at 101.25 per cent. Investors should note that free cash flow has been negative in each of the three years presented, so repayment depends on capital expenditure slowing before 2029 or on refinancing.

What happens if the Issuer defaults?

A default arises if the Issuer fails to pay any amount due within the applicable grace period, breaches a financial covenant, breaches another material obligation and fails to remedy it within the cure period, becomes subject to insolvency proceedings, or triggers one of the other events of default described in Section 4.9. Upon a continuing event of default, the Trustee may, and must if directed by an extraordinary resolution of Sukukholders, accelerate the Sukuk so that the full nominal value and accrued profit become immediately due and payable.

These Sukuk are secured, and the security is better than on most issues of this size. The Kulim factory is valued at RM26.4 million against RM9.6 million of prior-ranking financing, leaving RM16.8 million of equity for RM3.5 million of Sukuk, a cover of 4.8 times. Investors should still discount that: a purpose-built cleanroom has a small pool of buyers so a forced sale would realise well below valuation, and the valuation assumes the facility remains regulator-certified, which may not be true in the circumstances that produce a default. The assignment of receivables from the principal OEM customer and the three largest hospital distributors, RM18.4 million annually, is the other substantive protection. Any unsecured shortfall would rank behind preferential employee claims for 212 staff.

Individual investors do not enforce directly. The Trustee acts on behalf of all Sukukholders collectively, which prevents a disorderly race to enforce and ensures that any recoveries are distributed rateably in accordance with the priority of payments set out in the Trust Deed.

Is this issuance Shariah compliant?

Yes. The structure is Murabahah effected through a Tawarruq arrangement: Sukukholders, through the Trustee, purchase Shariah-compliant commodities and sell them to the Issuer at a deferred price comprising nominal value plus an agreed profit. The manufacture of medical devices raises no Shariah concern, and the Issuer confirms it does not manufacture products containing porcine-derived or alcohol-based materials. The structure has been reviewed and approved by Ibnu Hakim Shariah Advisory Sdn Bhd. Investors should consult their own Shariah advisers.

What are the main risks I should focus on?

The Issuer would direct attention to five risks in particular. First, credit risk: repayment depends entirely on the Issuer, and the Sukuk benefit from no third-party guarantee. Second, refinancing risk: the Sukuk repay in a single bullet payment at maturity and the Issuer expects to refinance rather than fully amortise from operating cash flow. Third, profit rate risk: the rate is fixed, so the market value of the Sukuk will fall if benchmark yields rise. Fourth, liquidity risk: the Sukuk are unlisted, secondary market trading may be thin, and investors should be prepared to hold to maturity. Fifth, the sector-specific risks described in Section 7.2, which for the Issuer principally concern concentration on a single original equipment manufacturer customer, dependence on Medical Device Authority licensing and ISO 13485 certification, product liability and recall exposure, regulatory approval timelines for new products and export markets, raw polymer price and supply volatility, and competition from lower-cost regional manufacturers. Section 7 should be read in full.

How will the proceeds be used?

The gross proceeds of RM3.5 million will be applied as set out in Section 5: RM1.85 million to cleanroom expansion and injection moulding equipment, RM620,000 to a regulatory approval and certification programme, RM700,000 to refinancing existing financing, RM175,000 to working capital, and RM155,000 to the expenses of the offering including the Platform origination fee.

What is the credit rating, and what does it mean?

There is no rating. No rating agency has been appointed to assess these Sukuk or the Issuer. A rating from RAM or MARC would have cost RM150,000 to RM200,000, being four to six per cent. of this issue, which would have made the issuance uneconomic. What stands in its place is the security described in Section 4.6, which at 4.80 times cover is the strongest on the Platform, together with the covenants in Section 4.9 and the participation of the Anchor Investor. Investors should not treat any of those as equivalent to a rating, nor treat ACE Market listing as a quality signal; it is a disclosure regime, not a credit assessment.

Who can invest, and in what amounts?

The Sukuk are issued in denominations of RM1,000 nominal value. Fractional interests in the Sukuk are made available through the Tokenkan platform, under which an investor may subscribe for an interest of not less than RM100 and in increments of RM1 thereafter. The platform operator holds the underlying Sukuk and records the fractional entitlement of each investor. An investor holding a fractional interest is entitled to the corresponding share of each profit payment and of the redemption proceeds, but is not the registered holder of the Sukuk and exercises rights under the Trust Deed through the platform operator.

Are the Sukuk secured?

Yes, and it is the main protection given the absence of a rating. A second-ranking charge over the Kulim factory premises valued at RM26.4 million behind RM9.6 million of existing financing, a debenture over plant, equipment, inventories and receivables, an assignment of RM18.4 million of annual receivables from the largest customers, and a corporate guarantee from the controlling shareholder. Section 4.6 sets this out and assesses candidly what it is likely to be worth.

Where do I rank against other creditors?

Sukukholders rank as senior secured creditors to the extent of the security, behind RM9.6 million of existing financing on the factory and behind equipment financiers over the specific equipment they financed, and as unsecured creditors for any shortfall. Any unsecured shortfall ranks behind winding-up costs and preferential employee claims.

Can the Issuer redeem early, and what would I receive?

The Issuer may call the whole issue from the second anniversary at 101.25 per cent. Investors have a put right on a change of control, a mandatory redemption if regulatory approvals are lost for more than ninety days, and a redemption right by extraordinary resolution if the principal OEM customer is lost and not replaced. Otherwise the only exit is a sale into the Anchor Investor standing bid described in Section 9.5, which carries a 1.75 per cent. discount, the largest on the Platform, is capped at RM60,000 a month and may be suspended.

How is my investment taxed?

The tax treatment of profit depends on the residence, legal form and tax status of the investor. Withholding tax may apply to payments made to certain non-resident investors, subject to any relief available under an applicable double taxation agreement. Certain classes of Malaysian institutional investors enjoy exemptions in respect of profit income from ringgit-denominated sukuk. The Issuer does not provide tax advice, and prospective investors should consult their own advisers.

How will I be kept informed after issuance?

The Issuer is required under the Trust Deed to deliver to the Trustee its audited consolidated financial statements within 120 days of each financial year end and its unaudited semi-annual accounts within 90 days of each half year end, together with a compliance certificate confirming observance of the financial covenants. The Issuer must also notify the Trustee promptly of any event of default or potential event of default, and of any development which would have a material adverse effect. The rating agency conducts a formal review of the rating at least annually.

Can I sell before maturity?

Fractional interests may be offered for sale through the matching facility operated by the Tokenkan platform, and the platform may also quote an indicative price at which it is prepared to take the position. Investors should understand clearly that this is not a listed market and that no party is obliged to buy. Whether a sale can be effected, and at what price, depends on the presence of a willing counterparty, on prevailing market yields and on the credit standing of the Issuer at the time; the price may be above or below the nominal value. An investor who is unable to sell should expect to hold to maturity, at which point the full nominal value becomes payable.

The Issuer only listed in February 2024. Is that a problem?

It is a genuine limitation and investors should weigh it. A company with two years of public reporting has a shorter audited record, less established disclosure practice, and no observed behaviour through a full downturn. The three financial years in this document cover a period of consistent growth; nothing here shows how this management team behaves when orders fall.

Two things partially offset it. The Issuer was operating for five years before listing, so the business record is longer than the listing record, and the audited accounts in Section 6 cover the pre-listing period. And the security in Section 4.6 does not depend on the Issuer's judgement in a downturn: the factory charge and the receivables assignment operate regardless.

What investors should not do is treat ACE Market listing as a quality signal. It is a disclosure regime, not a rating.

What is the single biggest risk here?

Customer concentration. The principal OEM customer, an international medical device brand for which the Issuer manufactures single-use consumables under its label, accounted for RM14.8 million, or 41.8 per cent., of FY2025 revenue. The current supply agreement runs to December 2028, eleven months before these Sukuk mature.

That agreement is the reason the Issuer has been able to invest in capacity, and its loss would be the most likely single cause of trouble. Investors have two protections: the mandatory redemption mechanism in Section 4.5, exercisable by extraordinary resolution if the customer is lost and not substantially replaced within six months, and the receivables assignment in Section 4.6. Neither prevents the loss; both give investors a route out or a claim if it happens. Section 7.2 sets out the exposure in full.

Where can I obtain further information?

Copies of the Trust Deed, the other Transaction Documents, the audited financial statements of the Issuer for the three financial years covered by this document, the rating letter and the Shariah pronouncement and the constitution of the Issuer are available for inspection at the registered office of the Issuer during normal business hours for the period during which the Sukuk remain outstanding. Enquiries may be directed to the Registrar and Paying Agent, Tokenkan Capital Sdn Bhd.

9. ORIGATION, ALLOCATION AND THE PLATFORM

9.1 How this offering was originated

This offering was originated directly by the Issuer through Tokenkan Capital Sdn Bhd, which operates the Tokenkan platform. No investment bank has acted as lead arranger, lead manager or underwriter.

The Issuer is a company listed on the ACE Market of Bursa Malaysia with a market capitalisation of RM52.6 million, the smallest issuer on the Platform. An issue of this size could not have carried the fixed cost of a conventional bond issuance, in which rating, trustee, legal, Shariah advisory, registry, settlement and underwriting fees are incurred at broadly the same magnitude whether a company raises RM5 million or RM50 million. The Platform exists to compress that cost base, and this document should be read as the product of that compression.

What the Platform does

The Platform structured this offering, prepared this document with the Issuer, conducted the credit review summarised in Section 6, set the indicative pricing range in consultation with the Anchor Investor, and distributes the sukuk to retail investors. It maintains the register of holders and pays the periodic distributions.

What the Platform does not do

The Platform does not issue or hold the sukuk. Token issuance and custody are performed by Sentinel Digital Custody Sdn Bhd, a Digital Asset Custodian registered with the Securities Commission Malaysia. The Platform has no ability to move, encumber or apply an investor's holding, and an investor's entitlement does not form part of the assets of the Platform.

The Platform does not underwrite this offering. It has given no commitment to subscribe for any portion not taken up, and holds none of the sukuk on its own account. Section 5.5 sets out what happens if the offering does not reach its minimum.

The Platform does not operate an exchange or an order book, and does not match buyers with sellers. Section 9.5 describes the only exit mechanism available at launch.

The Platform is not an adviser to investors. It is remunerated by the Issuer as set out in Section 5.2, and it charges investors a transaction fee on purchases and sales. Its remuneration therefore rises with both the size of the offering and the volume of investor activity. Investors should weigh this when reading any material prepared by the Platform, including the automated explanatory tools available on it, which are provided for convenience, are grounded in this document, and do not constitute advice or a recommendation.

The Platform does not guarantee the obligations of the Issuer. On a default, the recourse of investors is to the Issuer through the Trustee, as set out in Section 4.9, and not to the Platform.

9.2 Parties independent of the Issuer and the Platform

The following functions are performed by parties independent of both the Issuer and the Platform, and their independence is the substance of the protection they provide:

- the Digital Asset Custodian, which issues and safekeeps the holdings and maintains records independently of the Platform;
- the Trustee, which holds the benefit of the covenants for investors, monitors compliance, convenes meetings of holders and enforces on their instruction. It is remunerated by the Issuer but owes its duties to holders;
- the Auditor, which audited the financial statements from which Section 6 is drawn;
- the Solicitors, who advised on the Transaction Documents; and
- where applicable, the Rating Agency, the Shariah Adviser and the Independent Valuer.

Neither the Issuer nor the Platform may remove or replace the Trustee or the Digital Asset Custodian without the consent of holders by extraordinary resolution.

9.3 Fractional holding

Investors hold fractional interests recorded by the Digital Asset Custodian and reflected in the register maintained by the Platform. A fractional interest carries the same economic entitlement, proportionate to its size, as a whole unit of nominal value, and the same right to vote at meetings of holders. It is not a separate class and is not subordinated.

9.4 The Anchor Investor and allocation of this issue

This issue is not distributed wholly to retail investors. It is allocated as follows:

Allocation	Nominal value	Proportion
Anchor Investor	RM2,300,000	65.7%
Retail investors through the Platform	RM1,200,000	34.3%
Total	RM3,500,000	100.0%

The Anchor Investor for this issue is Nusantara Sustainable Credit Fund, a professional credit fund. Investors should understand why this structure exists and what it does and does not do for them.

What the Anchor Investor provides

It provides credit validation that an unproven platform cannot supply about itself. The Anchor Investor conducted its own credit

assessment of the Issuer, independently of the Platform, and committed to its allocation on the basis of that assessment. A professional credit investor taking 65.7% of the issue at the same price and on the same terms as retail investors is a meaningful signal, and it is the principal comfort available to a retail subscriber to a small unlisted issue of this kind.

It also provides the standing bid described in Section 9.5, which is the only route by which a retail investor can exit before maturity.

What it does not provide

The Anchor Investor does not guarantee the obligations of the Issuer and has no liability to retail investors if the Issuer defaults. It ranks equally with retail holders, not behind them, so it bears loss alongside them rather than ahead of them.

It is not an underwriter. It has committed to its own allocation only, and will not absorb any part of the retail tranche which is not taken up.

Investors should also note that the Anchor Investor participated in setting the pricing of this issue. Its interest in obtaining a higher return is not aligned with the interest of a retail subscriber, although both pay the same price for the same instrument.

9.5 The standing bid, and its limits

The Anchor Investor has undertaken to the Trustee to maintain a standing bid for sukuk held by retail investors, at a price determined by the formula published on the Platform and set out in the Standing Bid Agreement, which is available for inspection under Section 10.3.

The formula prices the sukuk by discounting the remaining scheduled payments at a reference yield, being the yield on Malaysian Government Securities of comparable remaining tenure plus the credit spread at which this issue was priced, and then applying a discount of 1.75 per cent. to reflect the cost of the Anchor Investor providing the facility. The formula is mechanical and is not a negotiation.

Investors should be clear about four limitations:

- **The price is not the nominal value.** Because the formula responds to prevailing yields, an investor selling into the standing bid when yields have risen will receive less than RM100 per RM100 of nominal value, and in adverse conditions materially less. The discount of 1.75 per cent. applies in every case, including when yields have not moved.
- **The bid is capped.** The Anchor Investor is obliged to purchase not more than RM60,000 of nominal value in aggregate in any calendar month. If retail investors seek to sell more than that in a month, requests are met in the order received and the balance carries to the following month.
- **The bid may be suspended.** The undertaking is suspended while an event of default is continuing, during the fifteen business days before and after a periodic payment date, and where the Anchor Investor is prevented from dealing by applicable law. Investors should note that the first of these means the standing bid is least likely to be available at precisely the moment they most want to sell.
- **The bid terminates.** The undertaking ends if the Anchor Investor ceases to hold at least half of its original allocation, on its insolvency, or at the maturity date. If it terminates before maturity, investors have no exit mechanism at all until Recognized Market Operator registration is obtained, and there is no assurance as to when that will occur.

The Trustee monitors compliance with the Standing Bid Agreement and reports on it in the periodic reporting published through the Platform.

9.6 Position limits

The Platform applies limits on the exposure a retail investor may take to any single issuer, in order to prevent a concentrated loss on a single small credit. An investor may not hold more than RM8,000 in nominal value of the sukuk of any one issuer, nor more than twenty-five per cent. of the aggregate value of their holdings across the Platform in any one issuer.

Investors should treat these limits as a floor on prudence rather than a substitute for it. The limits are set by the Platform and may be varied. They do not imply that an investment at the limit is suitable.

9.7 What happens if the Platform ceases to operate

The entitlements of investors do not depend on the continued operation of the Platform. Holdings are issued and safekept by the Digital Asset Custodian, which is registered with the Securities Commission Malaysia and subject to its own regulatory obligations, and the register is replicated daily to the Trustee.

If the Platform ceases to operate, the Trustee is empowered under the Trust Deed to appoint a replacement registrar and paying agent, and the obligations of the Issuer to holders are unaffected. Investors should nonetheless expect the practical consequences to include the suspension of the standing bid facility, since it is administered through the Platform, and a period during which distributions may be delayed while arrangements are transferred.

10. CORPORATE DIRECTORY AND STATUTORY INFORMATION

10.1 The Issuer

Registered name	MediQ Peranti Bhd
Registration number	Registration No. 201801029156 (1289471-U)
Registered office	Unit 3-1, Menara MediQ, Jalan Universiti, 46200 Petaling Jaya, Selangor, Malaysia
Business address	Kilang MediQ, Lot 88, Kawasan Perindustrian Kulim, 09000 Kulim, Kedah, Malaysia
Date and place of incorporation	Incorporated in Malaysia on 17 September 2018 as a private limited company, converted to a public company on 8 August 2023 and listed on the ACE Market of Bursa Malaysia on 21 February 2024
Financial year end	31 December
Company secretary	Lee Mei Fong (MAICSA 7061284)

10.2 Advisers and transaction parties

Originating Platform	Tokenkan Capital Sdn Bhd (Registration No. 202301009284 (1502773-D))
Registrar and Paying Agent	Tokenkan Capital Sdn Bhd
Digital Asset Custodian	Sentinel Digital Custody Sdn Bhd, registered with the Securities Commission Malaysia
Trustee	Amanah Wilayah Trustee Berhad
Shariah Adviser	Ibnu Hakim Shariah Advisory Sdn Bhd
Auditor	Cheong Rahmat & Co. PLT
Solicitors	Zulkarnain Hew & Co.
Independent Valuer	Chandra Nakamura Valuers Sdn Bhd
Anchor Investor	Nusantara Sustainable Credit Fund, a professional credit fund managed by Nusantara Asset Management Sdn Bhd
Auditors	Cheong Rahmat & Co. PLT (AF 1264)
Solicitors	Zulkarnain Hew & Co.
Rating agency	no rating agency has been appointed

10.3 Documents available for inspection

For so long as any Sukuk remain outstanding, copies of the following documents may be inspected at the registered office of the Issuer during normal business hours on any business day:

- the constitution of the Issuer;
- the audited consolidated financial statements of the Issuer for the three financial years covered by Section 6, together with the reports of the auditors thereon;
- the Trust Deed and the other Transaction Documents;
- the rating letter issued by no rating agency has been appointed in respect of the Sukuk;
- the pronouncement of the Shariah Adviser in respect of the structure of the Sukuk; and
- the material contracts referred to in this document.

10.4 Responsibility statement

The Directors of the Issuer have seen and approved this document. They collectively and individually accept full responsibility for the accuracy of the information contained in it, and confirm that, having made all reasonable enquiries, and to the best of their knowledge and belief, there are no other facts the omission of which would make any statement in this document misleading.

10.5 Consents

The Trustee, Amanah Wilayah Trustee Berhad, the auditors, Cheong Rahmat & Co. PLT (AF 1264), and the solicitors, Zulkarnain Hew & Co., Ibnu Hakim Shariah Advisory Sdn Bhd, as Shariah Adviser, have each given and have not withdrawn their written consent to the inclusion in this document of their names and, where applicable, of their reports and opinions in the form and context in which they appear. Tokenkan Capital Sdn Bhd has given and has not withdrawn its written consent to the inclusion of its name as Originating Platform, Registrar and Paying Agent, and Sentinel Digital Custody Sdn Bhd, registered with the Securities Commission Malaysia has given and has not withdrawn its written consent to the inclusion of its name as Digital Asset Custodian.